

Northwind Contract Negotiation Playbook: Overview

NORTHWIND SYSTEMS

INTERNAL LEGAL & NEGOTIATION PLAYBOOK

SECTION 1: OVERVIEW AND AUTHORITY MATRIX

1.1 Purpose and Scope

This playbook establishes the binding internal governance rules, financial thresholds, and escalation pathways for all commercial agreements entered into by Northwind Systems. Every member of the legal team, sales organization, and finance department must adhere to the authorization structures set forth herein.

1.2 Approval Tier Structure

All commercial contracts shall be processed through one of three distinct approval tiers based on cumulative Annual Contract Value (ACV) and the presence of non-standard legal deviations. The three tiers are:

- (a) Tier 1: Standard Approval;
- (b) Tier 2: Deviation Approval; and
- (c) Tier 3: Executive Escalation.

1.3 Tier 1: Standard Approval

- (a) ACV Threshold: Contracts with an ACV of less than \$100,000.
- (b) Legal Parameters: Must utilize unmodified Northwind Systems standard template agreements (Master Services Agreement, Order Form, and Data Processing Addendum) with zero redlines to core legal clauses.
- (c) Sign-Off Authority: Associate Corporate Counsel (currently assigned to Marcus Vance) or designated Senior Contracts Manager (currently assigned to Elena Rostova).

1.4 Tier 2: Deviation Approval

- (a) ACV Threshold: Contracts with an ACV between \$100,000 and \$500,000, OR contracts under \$100,000 containing permitted operational deviations.
- (b) Permitted Deviations (Triggers for Tier 2):
 - (i) Net 45 or Net 60 payment terms (standard is Net 30);
 - (ii) Customer-specific security addendums reviewed and pre-approved by the Northwind Information Security team;
 - (iii) Tier 2 limitation of liability caps not exceeding 2x ACV (standard is 1x ACV paid in the preceding 12 months);
 - (iv) Service Level Agreement (SLA) uptime credits capped at a maximum of 50% of monthly recurring revenue in any single billing cycle.
- (c) Sign-Off Authority: Deputy General Counsel (currently assigned to Sarah Jenkins).

1.5 Tier 3: Executive Escalation

- (a) ACV Threshold: Contracts with an ACV exceeding \$500,000, OR any contract containing structural legal deviations outside the scope of Tier 2.
- (b) Mandatory Triggers for Tier 3:
 - (i) Any deviation from Northwind Systems standard IP ownership provisions;
 - (ii) Acceptance of unilateral termination for convenience without a wind-down fee;
 - (iii) Governing law or venue outside the State of Delaware or the Province of Ontario;

(iv) Any request for audit rights exceeding once per calendar year at the customer's sole expense.

(c) Sign-Off Authority: General Counsel (currently assigned to Arthur Pendelton), in mandatory concurrence with the Chief Financial Officer (currently assigned to David Thorne) for financial deviations.

1.6 Limitation of Liability Override Rule

Notwithstanding any ACV threshold or pre-approved deviation matrix set forth in clauses 1.3 through 1.5, no clause may be auto-approved under Tier 1 or Tier 2 where the counterparty has redlined the limitation of liability. Any modification, deletion, or qualification by the counterparty to Northwind Systems' standard limitation of liability clause—including proposals for uncapped liability, super-caps, or the exclusion of indirect or consequential damages from the mutual waiver—shall immediately and automatically thrust the contract into Tier 3 Executive Escalation, requiring the written sign-off of the General Counsel regardless of contract value.